

Non-Solvency II Firms ? Actuarial Requirements

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Application and Definitions

1.1

Unless otherwise stated, this Part applies to a _non-directive insurer_.

1.2

Chapters 2 to 6 only apply to a _long-term insurer_ which is not a _non-directive friendly society_.

1.3

Chapter 7 only applies to a _non-directive friendly society_ other than:

1. (1) a _partnership pension society_ ; and
2. (2) a _flat rate benefits business friendly society_.

1.4

This Part applies to an _actuary_ appointed under 2 or 7 or appointed under or as a result of a statutory provision other than in _FSMA_.

1.5

In this Part, the following definitions shall apply:

actuarial function

means the function of acting in the capacity of an _actuary_ appointed by a firm under 2.1(1)") to perform the duties set out in 5.

appropriate actuary

means an _actuary_ appointed under 7.1

Chief Executive function

for a _large non-directive insurer_ has the meaning given in Large Non-Solvency II Firms ? Senior Management Functions 3.1.

With-Profits Actuary function

for a _large non-directive insurer_ has the meaning given in Large Non-Solvency II Firms - Senior Management Functions 8.2 and for a _small non-directive insurer_ has the meaning given in Non-solvency II Firms ? Senior

Management Functions 5.1.

2

Appointment of Actuaries

2.1

A firm must appoint one or more actuaries to perform and be responsible for:

- (1) the actuarial function in respect of all classes of its long-term insurance business; and
- (2) the With-Profits Actuary function in respect of all classes of its with-profits insurance business (if any).

2.2

A firm must:

1. (1) when it becomes aware that a vacancy of an actuary required under 2.1 will arise or has arisen:
 1. (a) notify the PRA; and
 2. (b) give reasons for the vacancy,
2. without delay, using the form referred to in Notifications 10.3;
3. (2) appoint an actuary to fill any vacancy of an actuary required under 2.1;
4. (3) ensure that the replacement actuary can take up the vacant post at the time the vacancy arises or as soon as reasonably practicable after that; and
5. (4) when a new actuary is appointed:
 1. (a) notify the PRA of that appointment; and
 2. (b) advise the PRA of the name and business address of the actuary appointed and the date from which the appointment has effect,
6. using the form referred to in Notifications 10.3.

2.3

Where a firm fails to appoint an actuary under 2.1 within 28 days of a vacancy arising the PRA may appoint an actuary to perform either of the functions in 2.1(1) or (2) for that firm on the following terms:

1. (1) the actuary to be remunerated by the firm on the basis agreed between the actuary and firm or, in the absence of agreement, on a reasonable basis; and
2. (2) the actuary to perform the function required under 2.1 until he resigns or the firm appoints another actuary.

2.4

A firm must comply with and is bound by the terms on which an actuary has been appointed by the PRA.

2.5

Where the PRA appoints an actuary to perform either of the functions in 2.1(1) or (2) for a firm, the requirements under 2.1 to make appointments under that rule still apply to that firm.

3

Actuaries? Qualifications

3.1

Before a _firm_ appoints an _actuary_ under 2.1, it must take reasonable steps to ensure that the _actuary_ has the required skill and experience to perform his functions under the _regulatory system_ commensurate with the nature, scale and complexity of the _firm's_ business and the requirements and standards under the _regulatory system_ to which it is subject.

3.2

A _firm_ must not appoint as _actuary_ a _person_ who is disqualified under Part XXII of _FSMA_ from acting as an _actuary_ either for that _firm_ or for a relevant class of _firm_.

3.3

A _firm_ must take reasonable steps to ensure that an _actuary_, which it is planning to appoint or has appointed, provides information to the _PRA_ about the _actuary's_ qualifications, skills, experience and any other relevant matters in accordance with the reasonable requests of the _PRA_.

4

Conflicts of Interest

4.1

A _firm_ must take reasonable steps to ensure that an _actuary_ that it appoints:

1. (1) does not perform the _Chief Executive function_ ;
2. (2) does not, if he is to perform the _With-Profits Actuary function_ , become a member of the _firm's_ governing body; and
3. (3) does not perform any other function on behalf of the _firm_ which could give rise to a significant conflict of interest.

5

The Actuarial Function

5.1

An _actuary_ appointed to perform the _actuarial function_ must, in respect of those classes of the _firm's_ long-term insurance business_ which are covered by his appointment:

1. (1) advise the _firm's_ management, at the level of seniority that is reasonably appropriate, on the risks the _firm_ runs in so far as they may have a material impact on the _firm's_ ability to meet _liabilities to policyholders_ in respect of _contracts of long-term insurance_ as they fall due and on the capital needed to support the business, including regulatory capital requirements;
2. (2) monitor those risks and inform the _firm's_ management, at the level of seniority that is reasonably appropriate, if he has any material concerns or good reason to believe that the _firm_ :
 1. (a) is not meeting _liabilities to policyholders_ under _contracts of long-term insurance_ as they fall due, or may not be doing so, or might not have done so, or might, in reasonably foreseeable circumstances, not do so;
 2. (b) is, or may be, effecting new _contracts of long-term insurance_ on terms under which the resulting income earned is insufficient, under reasonable actuarial methods and assumptions, and taking into account the other financial resources that are available for the purpose, to enable the _firm_ to meet its _liabilities to policyholders_ as they fall due (including amounts required to enable the _firm_ to fulfil its regulatory duty to treat its customers fairly under any

relevant provision in the _FCA Handbook_);

3. (c) does not, or may not, have sufficient financial resources to meet _liabilities to policyholders_ as they fall due (including reasonable bonus expectations) and the capital needed to support the business, including regulatory capital requirements or, if the _firm_ currently has sufficient resources, might, in reasonably foreseeable circumstances, not continue to have them;

3. (3) advise the _firm's governing body_ on the methods and assumptions to be used for the investigation required by Insurance Company ? Reporting 5.8 and 5.9;

4. (4) perform those investigations and calculations in (3), in accordance with the methods and assumptions determined by the _firm's governing body_;

5. (5) report to the _firm's_ _governing body_ on the results of the investigations and calculations in (3);

6. (6) in the case of a _friendly society_ , perform the functions of the appropriate actuary under section 87 (Actuary's report as to margin of solvency) of the Friendly Societies Act 1992; and

7. (7) if applicable, be responsible for the actuarial _function_ required by Governance 10.2.

6

With-Profits Actuary Function

6.1

An _actuary_ appointed to perform the _With-Profits Actuary function_ must:

1. (1) advise the _firm's_ management, at the level of seniority that is reasonably appropriate, on key aspects of the discretion to be exercised affecting those classes of the _with-profits insurance business_ of the _firm_ in respect of which he has been appointed;

2. (2) at least once a year, report to the _firm's governing body_ on key aspects (including those aspects of the _firm's_ application of its _PPFM_ on which the advice described in (1) has been given) of the discretion exercised in respect of the period covered by his report affecting those classes of _with-profits insurance business_ of the _firm_ ;

3. (3) request from the _firm_ such information and explanations as he reasonably considers necessary to enable him properly to perform the duties in (1) and (2);

4. (4) advise the _firm_ as to the data and systems that he reasonably considers necessary to be kept and maintained to provide the duties in (3); and

5. (5) in the case of a _friendly society_, perform the function of appropriate actuary under section 12 (Reinsurance) of the Friendly Societies Act 1992 or section 23A (Reinsurance) of the Friendly Societies Act 1974 as applicable, in respect of those classes of its _with-profits insurance business_ covered by his appointment.

7

Appropriate Actuary

7.1

A _firm_ must:

1. (1) appoint an _appropriate actuary_ to carry out the triennial investigation and prepare the return required by Friendly Society ? Reporting 2.1 and 2.2 and provide the certificate or statement required by Friendly Society ? Reporting 2.3; and

2. (2) appoint a replacement for that _actuary_ if he ceases to hold office before he has carried out the duty described in (1).

7.2

A _firm_ must not appoint as _appropriate actuary_ a _person_ who is disqualified under Part XXII of _FSMA_ (Auditors and Actuaries) from acting as an _actuary_ either for that _firm_ or for a relevant class of _firm._

8

Duties of Actuaries

8.1

An _actuary_ appointed under this Part must be objective in performing his duties.

8.2

An _actuary_ appointed under this Part must take reasonable steps to satisfy himself that he is free from bias, or from any conflict of interest from which bias may reasonably be inferred. He must take appropriate action where this is not the case.

8.3

When carrying out his duties, an _actuary_ appointed under this Part must pay due regard to generally accepted actuarial practice.

8.4

An _appropriate actuary_ must carry out the triennial investigation and prepare the return required by Friendly Society ? Reporting 2.1 and 2.2 and provide the certificate or statement required by Friendly Society ? Reporting 2.3.

8.5

An _actuary_ must notify the _PRA_ without delay if the _actuary_ :

- (1) is removed from office by a _firm_ ;
- (2) is formally notified of such removal from office;
- (3) resigns before the term of office expires;
- (4) is not re-appointed by a _firm_ ; or
- (5) is disqualified from being the _actuary_ of:
 - (a) any _undertaking_ or particular class of _undertaking;_ or
 - (b) any _firm_ or particular class of _firm._

8.6

In the circumstances set out in 8.5, the _actuary_ must notify the _PRA_ without delay:

1. (1) of any matter connected with the removal or ceasing of the office of _actuary_ that the _actuary_ thinks ought to be drawn to the _PRA's_ attention; or
2. (2) that there is no such matter.